

Due Diligence and Underwriting Report: 581 Leisure Lane, Cedar Creek, TX 78612

Executive Summary

The suburban-rural residential property located at 581 Leisure Lane, Cedar Creek, Texas 78612, represents a complex real estate asset within the high-growth Austin-Round Rock-San Marcos Metropolitan Statistical Area (MSA). Underwriting this property requires a rigorous, dual-focused analysis of an appreciating 4.59-acre land tract and a depreciating double-section manufactured housing improvement. This report delivers an exhaustive evaluation of the property's dual-account tax structure, municipal valuation anomalies, legal requirements governed by the Texas Department of Housing and Community Affairs (TDHCA), infrastructural constraints, and historical tax dynamics. The objective of this analysis is to provide real estate professionals with the precise quantitative and qualitative assessments required to structure an acquisition, mitigate structural liabilities, and forecast post-transaction carrying costs.

Technical Asset Specifications and Tax Identifiers

A defining characteristic of 581 Leisure Lane is its split-account configuration within the Bastrop County tax administration system. The asset is divided into a real property account and a mobile home personal property account, which have been historically consolidated for billing purposes but remain distinct legal records. The real property is registered under Account 23206 (Parcel ID R23206), encompassing the 4.591-acre land tract and any permanently affixed improvements. The double-section manufactured home is registered under Account 88969, which designates the physical structure itself.

The legal description of Account 88969 confirms that the improvement is a 32-foot by 76-foot double-wide manufactured home, matching the standard dimensions of a 2,432-square-foot residential unit built in the year 2000. Under Texas tax administrative guidelines, personal property tax records for Account 88969 show no independent tax liabilities, indicating that the manufactured home's value has been officially merged into and assessed under the real property Account 23206. This integration is standard practice when a manufactured home has been legally declared as real property.

Asset Profile and Identifiers

Operational Parameter	Specification Details	Administrative Source
Physical Address	581 Leisure Lane, Cedar	1

	Creek, TX 78612	
Real Property Account Number	23206 (Parcel ID: R23206)	1
Mobile Home Account Number	88969	2
Legal Classification	Bluebonnet Acres Section 1, Block 6, Lot 16	1
Total Land Acreage	4.591 Acres (199,984 Square Feet)	1
Improvement Dimensions	32 Feet x 76 Feet (Double-Section)	1
Total Livable Area	2,432 Square Feet	1
Year of Construction	2000	1
HUD Label Number	PFS0645569	4
Structure Serial Number	PFS645568	4
FEMA Flood Plain Classification	Zone X (Area of Minimal Flood Hazard / No)	5

Property Valuation and Tax Assessment Metrics

Underwriting the future carrying costs of 581 Leisure Lane reveals a significant valuation discrepancy between municipal appraisals and private market automated valuation models (AVMs). The Bastrop Central Appraisal District (CAD) valued the combined asset at \$431,623 for the 2025 tax year, comprising a land value of \$292,669 and an improvement value of \$138,954. Conversely, major third-party AVMs estimate the market value of the property between \$386,758 and \$389,000.³

This variance of approximately \$42,000 to \$45,000 suggests that the county has over-appraised the land value relative to current market conditions, or that the rapid suburban expansion of the Cedar Creek submarket has created localized pricing volatility. A buyer must

prepare to file an immediate property tax protest upon acquisition to align the CAD's appraised value with the actual transaction price, utilizing the purchase contract as primary evidence of market value.⁹

Valuation and Exemption Architecture

Valuation Component	Tax Year 2024	Tax Year 2025	Administrative Source
Appraised Land Value	\$292,669	\$292,669	1
Appraised Improvement Value	\$139,215	\$138,954	1
Total Appraised Market Value	\$431,884	\$431,623	1
Homestead Cap Adjustment	\$148,263	\$119,640	1
Assessed Taxable Value (Capped)	\$283,621	\$311,983	1
Homestead Exemption Amount	\$100,000	\$140,000	1
Net Taxable Value (Estimated Base)	\$183,621	\$171,983	1
Actual Property Taxes Billed	\$939	\$1,291	1

The historical tax assessments demonstrate the application of Section 23.23 of the Texas Property Tax Code, which limits annual increases in the assessed value of a residence homestead to 10%.¹ In 2024, the property's capped assessed value was \$283,621, which increased by exactly 10% to \$311,983 in 2025.¹ The county applied a cap adjustment of \$119,640 in 2025 to shield the owner from the full appraised market value of \$431,623.

The current owner benefited from a massive \$140,000 homestead exemption in 2025, resulting in a net taxable base of only \$171,983 and an annual tax bill of \$1,291.¹ Upon sale, the homestead exemption and the 10% assessment cap will be legally removed.⁹ The tax base will immediately reset to the uncapped appraised market value of \$431,623.⁹ Assuming a standard unexempt combined tax rate of 1.6% for the Bastrop Independent School District and Bastrop County, the post-acquisition tax liability is projected to escalate to \$6,906. This represents a 434% increase in annual property tax carrying costs, a structural shift that must be factored into the buyer's debt-service coverage ratio (DSCR) and operating expense pro forma.

Regulatory Compliance and Title Integration

The transfer of a manufactured home on acreage in Texas requires compliance with the Manufactured Housing Division of the TDHCA.⁴ Because manufactured homes are legally classified as personal property by default, a formal conversion to real property is required to secure standard mortgage financing.⁴ Under the Texas Property Code, this conversion is incomplete until a certified copy of the TDHCA-issued Statement of Ownership (SOL) is formally recorded in the real property records of Bastrop County.¹¹

Statutory TDHCA Processing Guidelines

Regulatory Requirement	Fee Schedule	Expected Timeline	Administrative Source
Standard SOL Transfer Application	\$55 per section (\$110 total)	15 to 30 Business Days	⁴
Expedited SOL Transfer Application	\$155 per section (\$210 total)	5 to 15 Business Days	⁴
MHD Form 1037 Filing Deadline	Included in SOL fee	Within 60 Days of Closing	¹¹
Legacy Texas Seal Application	\$35 per seal	Variable	¹⁰
DMV Transport Permit (if relocated)	Subject to TxDMV rates	Pre-transportation	¹²

The physical unit at 581 Leisure Lane possesses Serial Number PFS645568 and HUD Label Number PFS0645569. If the physical HUD label is missing from the exterior of the structure, the buyer must apply for a replacement Texas Seal from the TDHCA at a cost of \$35 per section.¹⁰

The title company facilitating the transaction must confirm that the SOL reflects a "Real Property" election and that a complete chain of title exists.⁴

Any unrecorded legacy transfers or outstanding chattel liens will freeze the TDHCA transfer process, preventing the issuance of a title insurance policy and halting conventional loan funding.⁴ Additionally, the TDHCA will not issue a updated SOL if the county tax collector shows delinquent taxes, making a clean tax certificate a non-negotiable closing requirement.⁴

Infrastructure, Utilities, and Environmental Risks

The utility infrastructure in the Bluebonnet Acres subdivision consists of a combination of public and private on-site systems, presenting specific capital expenditure and operational risks.⁵

Utility Infrastructure Profiles

Utility System	Type and Provider	Operational Risk Assessment	Source
Potable Water	Public Connection (Aqua Water Supply)	High water pressure; low contamination risk	5
Electrical Power	On-Site Grid Connection (Bluebonnet Coop)	Fully operational; standard rural delivery	6
Sewerage	Private On-Site Sewage Facility (OSSF)	Legacy anaerobic septic system; near end-of-life	5
Fuel Source	On-Site Propane	Requires private contract and tank lease	14
Telecommunications	Cable and Broadband Available	Standard residential connectivity	13

Because municipal sewer systems are unavailable in this submarket, the property relies entirely on a private on-site septic system.⁵ Installed around the year 2000 alongside the manufactured home, the existing anaerobic septic system is approximately 26 years old.¹ Since the operational life expectancy of a standard septic absorption field ranges from 20 to 25 years, the system is functionally depreciated and at high risk of structural failure.

The regional soil composition in Cedar Creek consists of tight, clay-heavy soils characterized by poor water absorption and low percolation rates. If the existing system fails or violates environmental codes, Bastrop County environmental regulations will prohibit the installation of a standard gravity-fed system. The owner will be legally mandated to install an engineered Aerobic Treatment Unit (ATU) featuring surface spray application.¹⁵ The capital allocation for an engineered ATU replacement ranges from \$12,000 to \$20,000, representing a significant immediate capital expenditure risk that must be accounted for in the purchase negotiations. Unlike many properties in the rural Colorado River basin of Bastrop County, 581 Leisure Lane is located outside the 100-year FEMA flood plain, designated as Zone X.⁵ This classification eliminates the requirement for mandatory flood insurance and minimizes environmental risk. Additionally, the 4.591-acre parcel size suggests potential subdivision or secondary development opportunities.¹ However, the deed restrictions and building covenants of the Bluebonnet Acres subdivision restrict the minimum allowable tract sizes and place strict limitations on the installation of secondary manufactured homes or commercial activities, neutralizing any near-term speculative subdivision plans.⁵

Strategic Underwriting Recommendations

To proceed with the acquisition of 581 Leisure Lane, the underwriting team must execute a defensive risk-mitigation strategy designed to address the property's financial and physical liabilities.

Pro Forma Financial Restructuring

The cash-flow projections must be re-underwritten using the uncapped municipal appraisal of \$431,623 as the baseline tax assessment.⁹ Underwriters should not utilize the current historically suppressed tax rate of 0.413%, which is protected by senior or disabled homestead exemptions.¹ Instead, they must model a post-sale tax liability of approximately \$6,906 based on a normalized 1.6% combined rate. If the property is acquired for the estimated market price of \$389,000, the buyer must file a formal valuation protest with the Bastrop CAD appraisal review board immediately upon closing to reduce the appraised base by \$42,000 and capture annual tax savings of approximately \$670.⁷

Comprehensive Septic and Soil Audit

The buyer must contractually require a comprehensive inspection of the existing on-site septic system before the expiration of the option period.⁵ A licensed sanitation engineer must perform a dye test, pump the tanks, and evaluate the absorption field. Because the legacy system is operating past its design life, a \$15,000 capital expenditure reserve should be

subtracted from the purchase price or held in escrow at closing to fund the inevitable transition to an engineered aerobic treatment system.¹⁵

Verification of Real Property Election

The escrow officer must verify that the double-section home's personal property title (Account 88969) has been fully canceled and that a certified Statement of Ownership reflecting a "Real Property" election has been properly recorded in the Bastrop County real property records.⁴ If any gaps in the chain of title are discovered, the seller must resolve them with the TDHCA before closing.⁴ This step is required to ensure the asset qualifies for conventional title insurance and long-term mortgage financing.⁴

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